

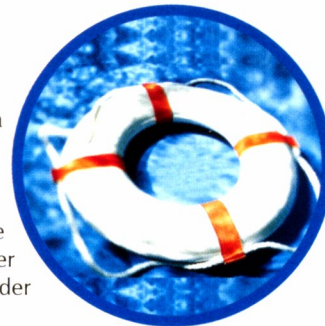


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TAX SAVING INVESTMENT AVENUES

You can cut your tax liability by investing up to Rs 1 lakh a year in specified avenues under Section 80C. However, it is important to understand that Section 80C is not just a way to save Rs 20,000-30,000 in taxes. It could be the key to a financially secure future. How, when and where you save tax today could define your financial health till well after retirement. Here is what the various tax-saving avenues under Section 80C have to offer:



A). Employee Provident Fund (EPF)

Returns: 8.5% per annum

Income: Tax free

This compulsory deduction is a good way to build a nest egg. The 12% of the basic salary that flows into your EPF account every month gives you tax deduction under Section 80C. What's more, the corpus earns an annual return of 8.5% and the amount you get on retirement is completely tax free. Only, don't get tempted to withdraw this sum when you change jobs. A one-time partial withdrawal is allowed for major financial goals such as a child's marriage or purchase of a house.

B). Public Provident Fund (PPF)

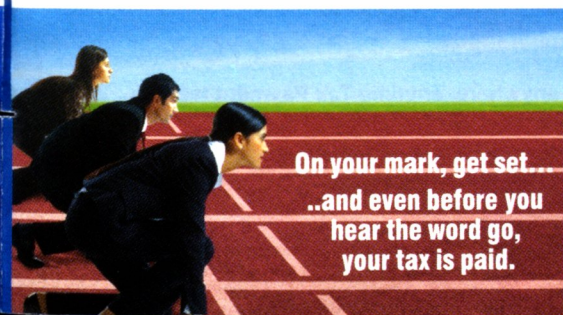
Returns: 8% per annum

Contribution: Maximum of Rs 70,000 and minimum of Rs 500 in a year

Income: Tax free

Best Suited For: Risk-averse investors, self-employed professionals and those not covered by the EPF.

Contributions to the PPF are eligible for tax deduction. What makes it attractive is that the 8% interest earned by the balance is assured and tax free. It's a good option for risk-averse investors because the PPF is a government-sponsored scheme.



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